

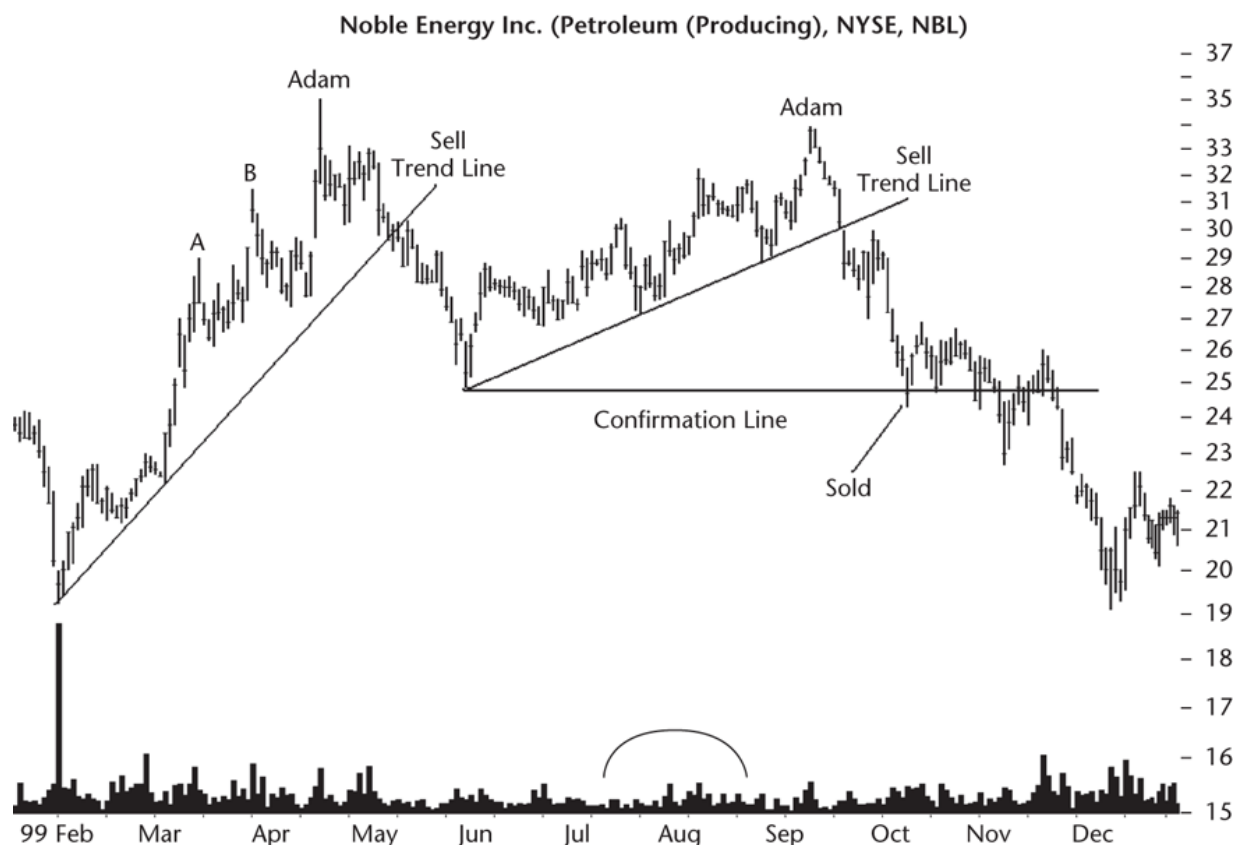


Figure 30.7 The two sell trendlines provide an opportunity to sell the stock at a price higher than the confirmation line.

The answer depends on several factors, such as taxes, industry, and market outlook. Sometimes it may be wise to ride out the decline.

Say you bought the stock at the February low, 19.25. At the first Adam top (35), you made 82%—nearly a double. Watching the stock drop to the confirmation line must have been painful. That drop took price down to 24.88, a decline that reduced your profit to just 29%.

Look what would have happened if you sold the stock the day after price closed below the sell trendline: That would have gotten you out at 29.94 for a profit of 56%.

I recently sold a utility stock because it shot up like the rise to point A. Since a quick decline often follows a quick rise, I was willing to sell my stock for a \$7,000 profit plus over \$1,300 in dividends because I did not want to give back thousands. I will miss the 5.3% yield at a time when